

Bronx Lottery Reveals the Math Behind New York's Affordable Housing Pipeline

90 units, 18 lottery slots, and a capital stack that depends on public subsidy, not market rents.

The most revealing number in the housing lottery for 2351 Lorillard Place is not the 90 units. It is the 18. That is how many apartments are being offered through NYC Housing Connect at incomes from 40 to 100 percent of area median income. The other 72 units are already spoken for, likely through a deeper subsidy program or a regulatory agreement that determines the building's entire economic logic.

This is not a market-rate project with a few affordable units tacked on. It is the opposite. The building's feasibility depends on a capital stack where the public subsidy, not the market rent, is the primary revenue source. The lottery is the visible tip of a financing structure that most developers cannot access and most lenders cannot replicate. Westbridge Realty Group, the developer, is not betting on rising rents in Belmont.

It is betting on tax credits, tax-exempt bonds, and a regulatory framework that guarantees a return if the building is built on time and on budget. The 18 lottery units are a compliance requirement, not a market signal. They exist to satisfy the city's inclusionary housing rules or the terms of a financing program like 421-a or its successor. The rents tell the story.

A three-bedroom at 40 percent of AMI rents for \$1,368. At 70 percent of AMI, a two-bedroom rents for \$2,297. Those numbers are below what a private lender would underwrite for a conventional multifamily loan in the Bronx. No bank is financing a 90-unit building on those rent rolls without a government guarantee or a credit enhancement that makes the debt risk-free.

The capital stack for a project like this typically includes 4 percent Low-Income Housing Tax Credits, tax-exempt bonds issued through a state or local housing finance agency, a subordinate subsidy from the city or state, and a minimal equity contribution from the developer. The debt is not priced on the building's cash flow. It is priced on the bond rating of the issuing authority and the tax credit equity investor's yield requirement.

That structure has held up through the rate cycle because it is insulated from market rent volatility. But it is not insulated from construction cost inflation, entitlement delays, or changes in federal tax policy. Every project that breaks ground today was underwritten when interest rates were lower and tax credit pricing was tighter. The margin for error is thin. Who benefits? The tenants who win the lottery.

The developer, which earns a development fee and a modest promote if the project performs. The tax credit investor, which gets a predictable yield backed by IRS compliance. The city, which adds units to its affordable housing count without spending general fund dollars directly. Who is exposed? Every market-rate developer trying to compete for land, labor, and materials against a subsidized pipeline that does not need to hit a market rent.

The gap between subsidized and unsubsidized housing production is widening, and the economics of the former are pulling resources away from the latter. What should the market watch next? The cost of tax credit equity. If corporate demand for credits softens or if the federal corporate tax rate is cut, the pricing of LIHTC equity shifts. That would change the feasibility of every project in the pipeline, including this one.

The lottery is the public face. The capital stack is the real story.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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